INAYA ADVISORY

EDUCATION SERIES

A GUIDE FOR MANAGERS AND SPONSORS

Hedge Funds

How hedge fund capital is raised, what institutional allocators examine before they invest, and how we run a mandate.

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IN THIS GUIDE

Contents

A hedge fund raise never closes; it runs continuously, and every monthly return becomes part of the pitch.

01
How capital is raised
PAGE 03

02
Vehicles and fund life
PAGE 04

03
The market today
PAGE 05

04
What allocators measure
PAGE 07

05
Diligence in depth
PAGE 08

06
The investor map
PAGE 09

07
Why raises stall
PAGE 10

08
Materials and data room
PAGE 11

09
How we run a mandate
PAGE 12

10
Our services
PAGE 13

11
The people
PAGE 14

12
Contact
PAGE 15

6
Services, from the first review of a raise to investor relations after the close

8
Stages in a mandate, run in a set order with one owner for each

3
Regions of investor coverage: North America, Europe and the Gulf

30
Minutes for the first conversation, by video and in confidence

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Hedge Funds
THIS GUIDE

01

THE ASSET CLASS IN BRIEF

How capital is raised

A hedge fund raise has no final close. Investors can redeem.

Hedge fund managers do not raise a fund and close it. They open a vehicle, accept subscriptions at each dealing date and keep raising for as long as capacity allows. The track record is published monthly, so the conversation with an allocator changes every time a new net asset value is struck. A manager is judged on the path of returns, not on a projected outcome.

Strategy sets the audience. Equity long/short, global macro, credit, relative value, multi-strategy and systematic quant books each sit in a different slot of an allocator's portfolio, with a different expected correlation to equities and bonds. Most committees first ask what role the fund plays in their book, a diversifier, a return enhancer or a liquid credit sleeve, before they ask about returns.

Allocators commit only after operational due diligence clears. An independent administrator, a recognised auditor, tested valuation policy, credible prime brokers and documented compliance are preconditions, whatever the Sharpe ratio says. We see raises succeed when the manager treats infrastructure, liquidity terms and reporting as part of the product, and when capacity, share classes and seeding economics are settled before the first meeting.



STRUCTURE

Open-ended fund, or a separately managed account.

LIQUIDITY

Subscriptions and redemptions at set dates, with notice periods.

INVESTORS

Pensions, endowments, funds of funds, family offices, private wealth.

TIMING

Continuous, often starting with a founding investor.

WHO INVESTS

Pension funds	Endowments	Foundations	Sovereign wealth funds	Funds of hedge funds	Family offices	Private wealth platforms

02

VEHICLES AND FUND LIFE

How hedge fund capital is structured

Master-feeder fund

Onshore partnership feeder for taxable investors and offshore corporate feeder, both investing through one trading master.

Open ended, monthly or quarterly dealing

Seed investors, funds of funds, early family offices

Pooling taxable, tax-exempt and non-US investors into one portfolio with one track record.

Separately managed account

Account in the allocator's own name, traded by the manager under an investment management agreement.

Daily liquidity, assets held by allocator

Large pensions, sovereign funds, platforms

Full position transparency, custom guidelines and control of counterparty and custody risk.

Fund of one

Single-investor fund vehicle with its own documents, terms and service providers.

Bespoke terms, often matching the flagship

Sovereign funds and large insurers

Custom risk limits or terms for one allocator without the operating burden of an account.

Seed or acceleration

Early capital into the flagship in return for a share of manager revenue or firm equity.

Multi-year lock with capacity rights

Specialist seeders and multi-manager platforms

Reaching a viable operating size and an institutional track record faster.

Founders' share class

Discounted fee class open to early investors until a set asset level or date.

Same liquidity as flagship, sometimes longer lock

First external investors and emerging manager programmes

Rewarding early risk and building the first tranche of external assets.

Emerging manager mandate

Allocation through a pension or sovereign programme, often via a dedicated manager-of-managers.

Sized small, scaled on performance

Public pensions and their appointed programme managers

Giving newer managers institutional capital under a structured graduation path.

THE CONTINUOUS RAISE, FROM SEED TO SCALE

1

Seed and launch

Founder and seed capital fund the master; administrator, auditor and prime broker are appointed before trading.

2

Build the record

Monthly returns accumulate; most institutions want a multi-year record through at least one stressed market.

3

Pass ODD

Allocators review service providers, valuation, controls and cyber, often with an on-site visit.

4

Scale and hold

Pensions, sovereigns and consultants allocate; tickets grow as the record and assets lengthen.

5

Manage capacity

The manager soft closes, then hard closes, to protect returns and keep liquidity terms honest.

03

THE MARKET TODAY

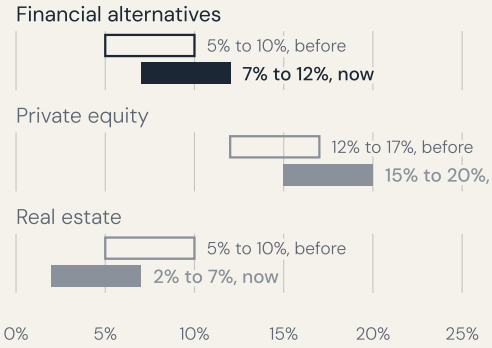
An allocator that runs money itself reads a fund closely.

WHAT IT MEANS FOR A RAISE

The people reviewing an external fund are often investors in the same strategies themselves.

ADIA LONG-TERM ALLOCATION RANGES

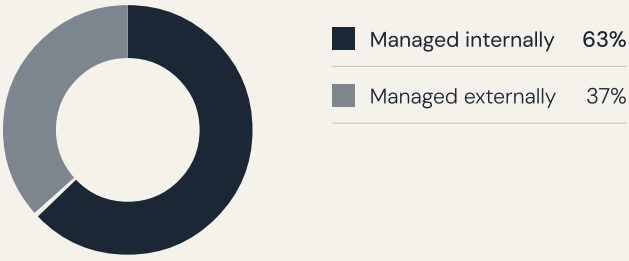
More room for hedge fund strategies and private equity.



Source: ADIA 2025 Review, as reported by The National, September 10, 2026, and Enterprise, September 11, 2026.

ADIA ASSETS BY WHO MANAGES THEM, 2025

The people who review an external fund often run the same strategies in house.



Source: as above.

LIQUIDITY TERMS AN ALLOCATOR READS FIRST

An open-ended fund is reviewed on how money comes in and goes out.

Subscriptions

At set dates, often monthly or quarterly.

Redemptions

At set dates, subject to notice periods.

Lock-up

An initial lock-up applies in some funds.

Founders' share class

Can be offered to the first investors.

Source: Inaya Advisory, Hedge Funds guide, November 2026. General practice, which varies between funds.

7% to 12%

ADIA's long-term range for financial alternatives, which include hedge fund strategies, up from 5% to 10%

63%

Share of ADIA's assets managed internally in 2025

US$102bn

Deployed by Middle East and North Africa sovereign funds in the nine months to September 30, 2026

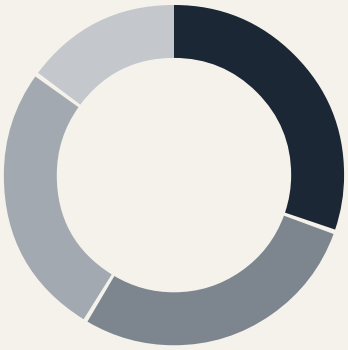
Gulf deployment: Khaleej Times, October 1, 2026, citing Global SWF's 2026 Mena Playbook. Figures describe one allocator and do not describe how any institution will treat a particular fund. Figures are as stated by the sources at the dates given. Inaya Advisory is not affiliated with any institution named here.

MARKET DATA

Hedge Funds in figures

HEDGE FUND CAPITAL BY STRATEGY, END 2025

Equity hedge held the most capital; macro remained the smallest of four.



Equity hedge	**US$1.57tn**
Event driven	US$1.45tn
Relative value	US$1.35tn
Macro	US$786.6bn

Source: Hedgeweek, Global hedge fund assets surpass $5tn for the first time, says HFR, 23 January 2026.

US$5.15tn

Total global hedge fund industry capital at the end of 2025, a record level.

Hedgeweek, Global hedge fund assets surpass $5tn for the first time, says HFR, 23 January 2026

US$34.5bn

Estimated net new capital allocated to hedge funds in the third quarter of 2026.

Opalesque, Hedge fund assets hold at record $5.64 trillion as inflows offset tech losses, 23 October 2026

US$100bn+

Share of 2025 inflows taken by large managers, showing how concentrated new allocations remain.

Hedgeweek, Global hedge fund assets surpass $5tn for the first time, says HFR, 23 January 2026

562

New hedge funds launched in 2025, the highest annual total since 2021, per HFR estimates.

The Full FX, Hedge Fund Launches Highest in Four Years: HFR, March 2026

287

Hedge fund liquidations in 2025, down from 406 closures in 2024, per HFR estimates.

The Full FX, Hedge Fund Launches Highest in Four Years: HFR, March 2026

US$900bn

Multi-strategy hedge fund capital at the end of the third quarter of 2026, a record.

Opalesque, Hedge fund assets hold at record $5.64 trillion as inflows offset tech losses, 23 October 2026

ACROSS ALL OPEN PRIVATE RAISES IN THE UNITED STATES

951

Open private offerings of US$50 million or more

567

Of them had reported nothing sold, 60%

414

Of the 470 open six months or longer had sold under a quarter

US$129.8bn

Of the US$149.3bn sought was still to be raised

Source: SEC EDGAR Form D filings, twelve months to July 2026. Inaya Advisory analysis. Amounts are as reported on each issuer's most recent Form D and can lag what has been raised.

04

ALLOCATORS

What allocators measure in a hedge fund

01 Drawdown profile

Maximum peak to trough loss, how long it lasted and how many months the fund took to recover to its prior high.

WHAT ALLOCATORS LOOK FOR

Losses consistent with stated risk, quick recovery, and no single drawdown that breaks the strategy's own thesis.

02 Volatility

Annualised standard deviation of monthly returns, read against the stated target and the strategy peer group.

WHAT ALLOCATORS LOOK FOR

Volatility kept inside the target band, without sharp regime changes that suggest style drift or rising gross exposure.

03 Sharpe and Sortino

Excess return per unit of total volatility, and per unit of downside volatility only.

WHAT ALLOCATORS LOOK FOR

Ratios that hold across sub-periods and are not produced by smoothed marks or a single good year.

04 Beta and correlation

Sensitivity and correlation of returns to equity and bond indices, and to the allocator's existing managers.

WHAT ALLOCATORS LOOK FOR

Low or explained market exposure, and correlation that does not rise sharply when equities fall.

05 Alpha and attribution

Return left after market exposure, split by long book, short book, sector, factor and trade type.

WHAT ALLOCATORS LOOK FOR

Returns that come from the stated edge, with shorts and hedges adding value rather than only reducing beta.

06 Capacity

The asset level beyond which the strategy's returns decay, set by liquidity, position sizes and market impact.

WHAT ALLOCATORS LOOK FOR

A stated, reasoned capacity figure and a clear plan to close before returns are diluted.

07 Liquidity match

How redemption frequency, notice periods, lock-ups and gates compare with the liquidity of the underlying portfolio.

WHAT ALLOCATORS LOOK FOR

Terms the book can honour in stress, with gates and side pockets as rare tools, not routine ones.

08 Exposure reporting

Regular reports on gross and net exposure, concentration, liquidity buckets, stress tests and value at risk.

WHAT ALLOCATORS LOOK FOR

Monthly, consistent risk data, ideally in standard templates, delivered on time through the administrator or a risk aggregator.

05

DILIGENCE

What institutional allocators examine

01

Return record

The monthly return history, how returns behaved in difficult markets, the size and length of losses from peak, and how much of the result came from the strategy itself.

02

Strategy and capacity

What the strategy does, why it has produced results, and how much capital it can take before results are affected.

03

Risk management

How positions are sized and limited, how risk is measured and reported, and who has the authority to reduce a position.

04

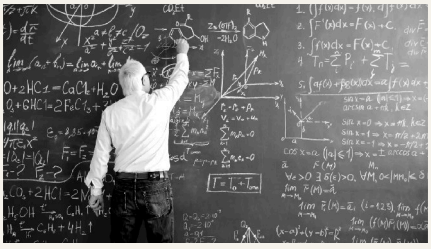
Operations

The administrator, the auditor, the prime broker and the valuation policy, and whether the fund is run to the operational standard an institution requires.

Administrator independence	Allocators expect a recognised third-party administrator to strike the net asset value, hold the shareholder register and process subscriptions and redemptions. They check that cash moves only with dual authorisation, that the administrator prices positions independently where possible, and that investors can receive transparency reports directly from it.
Valuation policy	Committees read the written valuation policy and ask who prices hard-to-value positions, how broker quotes are sourced and how often marks are challenged. A valuation committee with independent members, documented overrides and reconciliation to the administrator carries weight, especially for credit, distressed and side pocket assets.
Prime brokers and counterparties	Allocators review which prime brokers, swap counterparties and custodians hold assets, how margin is negotiated and whether the fund can move positions quickly if one counterparty weakens. More than one prime broker, signed ISDA terms and daily collateral monitoring are expected once a fund reaches institutional size.
Audit and track record	A recognised audit firm signing unqualified annual financial statements is the baseline. Allocators also look for a track record verified by an independent party, reconciled to administrator net asset values and fund statements, with any carve-out from a prior employer supported by documented attribution.
Compliance and governance	Operational reviewers test the compliance manual, personal trading rules, trade allocation policy, best execution and regulatory filings. An independent board for the offshore feeder, a chief compliance officer with authority and a clear policy for errors and conflicts are standard questions for most institutional allocators.
Cyber and continuity	Allocators ask for the cyber security policy, penetration test results, access controls on trading and payment systems, and a tested business continuity plan. Email payment fraud and third-party vendor risk receive close attention, and many reviewers want evidence of staff training and recent incident response exercises.

WHO THE CAPITAL SERVES

Many hedge fund allocators are pension funds. They invest on behalf of teachers, nurses and other public employees.



06

INVESTORS

The investor map

Public pensions

Investment staff and consultants recommend; boards approve; mandates sized against a hedge fund or absolute return policy target.

Low equity correlation, institutional ODD, fee alignment and often separate accounts or funds of one at scale.

Endowments and foundations

Small investment offices or outsourced CIOs decide quickly when conviction is high and hold for long periods.

Differentiated alpha, early access to talented managers, founders' terms and long-term alignment over short-term liquidity.

Insurers

Allocation set by capital rules and asset liability needs; risk and compliance teams review closely.

Predictable volatility, liquid credit and relative value strategies, look-through reporting and structures that suit capital treatment.

Sovereign wealth funds

Internal teams run deep diligence over months; large tickets go to established firms and strategic partnerships.

Scale, transparency, capacity rights, customised terms and managers able to support co-investment or knowledge transfer.

Funds of hedge funds

Research teams screen widely, run their own ODD and allocate across many managers inside one vehicle.

Uncorrelated return streams, capacity reservations and managers early enough to offer favourable fee classes.

Private banks and wealth

Platform gatekeepers approve managers for an advisory shelf, then advisers place client money over time.

Recognisable strategy, monthly liquidity, feeder access through the bank's platform and investor-friendly reporting.

GULF SOVEREIGN CAPITAL

Gulf sovereign and quasi-sovereign investors typically reach hedge funds through dedicated absolute return or external manager teams, with long diligence cycles and large minimum tickets. Most favour established managers with institutional operations, multi-year records and the capacity to absorb size. Separate accounts and funds of one are common at scale, as are requests for transparency, reduced fees and capacity rights. Several also value managers who share research, train local teams or open regional offices in Abu Dhabi, Dubai or Riyadh.

FAMILY OFFICES

Single-family offices often act as early backers of new hedge fund managers, deciding through a principal and a small team rather than a committee. They value direct access to the portfolio manager, a strategy they understand and founders' share class economics. Multi-family offices behave more like institutions, with formal manager research, operational due diligence and model portfolios. Both expect monthly letters, honest discussion of drawdowns and liquidity terms that match their own client or family needs.

07

IN THE MARKET

Why raises stall, and what fixes them

	WHY IT STALLS	WHAT FIXES IT
1 Track record too short for committees	Many institutions screen out funds below a minimum record length or asset size, so meetings never reach an investment committee.	Target seeders, founders' share class investors and emerging manager programmes first, and present a verified carve-out record where one exists.
2 Operations not yet institutional	A fund with a small administrator, no independent valuation or one prime broker fails operational due diligence regardless of performance.	Upgrade service providers before marketing, complete the AIMA DDQ and invite a mock ODD review from an experienced allocator or consultant.
3 Returns explained only by beta	Allocators who strip out equity or credit exposure find little residual return and see no reason to pay hedge fund fees.	Show attribution by long book, short book and factor, and position the fund against its true peer group and benchmark.
4 Liquidity terms mismatch the book	Monthly liquidity on an illiquid portfolio, or long locks on a liquid one, signals poor structuring to experienced reviewers.	Align redemption frequency, notice, lock-ups and gates with portfolio liquidity, and document the analysis in the offering memorandum.
5 No clear capacity or roadmap	Without a stated capacity and plan for growth, allocators fear style drift or dilution after they invest.	Publish a reasoned capacity figure, a soft close policy and a hiring and infrastructure plan tied to asset milestones.

TERMS THE MARKET LOOKS AT

Management fee

Whether the rate steps down with assets, how it is charged on share classes and what it pays for in research and operations.

Performance fee and HWM

The incentive fee rate, a high-water mark that requires losses to be recovered first, and whether any loss carryforward resets.

Hurdle

Whether performance fees apply only above a fixed rate or benchmark, and whether the hurdle is hard or soft.

Crystallisation

How often performance fees are paid, annually or longer, and how frequent crystallisation interacts with clawback and drawdowns.

Share class and MFN

Founders' and size-based classes, side letter terms and most favoured nation clauses that pass better terms to qualifying investors.

Expense pass-throughs

Which costs the fund bears, such as research, data, technology or staff, and whether caps or disclosure limit pass-through budgets.

Terms are described as general practice in the market. They vary by manager, strategy and allocator, and nothing here states our own fees.

08

PREPARATION

Materials and data room checklist



A hedge fund raise never closes; it runs continuously, and every monthly return becomes part of the pitch.

Offering documents

- [ ] Private placement memorandum for each feeder
- [ ] Limited partnership agreement and articles of association
- [ ] Subscription documents and investor eligibility forms
- [ ] Side letter template and MFN schedule
- [ ] Investment management agreement with fee terms

Track record

- [ ] Monthly net returns by share class since inception
- [ ] Independent verification or audit of the record
- [ ] Attribution by book, sector and factor
- [ ] Drawdown, volatility and exposure history
- [ ] Carve-out documentation from any prior firm

Due diligence pack

- [ ] Completed AIMA DDQ or equivalent questionnaire
- [ ] Audited financial statements for each fund year
- [ ] Valuation, compliance and trade allocation policies
- [ ] Cyber security and business continuity plans
- [ ] Organisation chart and key person biographies

Risk and providers

- [ ] Monthly risk report with exposure and liquidity
- [ ] Stress tests and value at risk methodology
- [ ] Administrator, auditor and prime broker confirmation letters
- [ ] Counterparty list with ISDA and custody arrangements
- [ ] Regulatory registrations and recent filings

09

ON A MANDATE

How we run a mandate

The raises that close are prepared before any investor sees them.

A mandate runs in eight stages. Most of the work that decides it happens before any investor sees the materials, and the relationships it opens continue after the close.

1 The First Conversation

A call with our Client Advisor about the fund, its record, the capital you are looking to raise and the timeline. You leave with a first read on how allocators are likely to receive it.

2 Senior Review

Our senior team reviews the return record, the materials and the fund terms. You then know whether we would take the mandate and what we would change first.

3 Positioning

We prepare the materials around the questions an allocator asks of a hedge fund manager about the return record, risk management, capacity and operations.

4 Our Network

The raise goes first to the pension funds, family offices, endowments and institutions we work with whose allocation fits the strategy and the size of the fund.

5 Meetings and Diligence

We prepare each investor meeting with you and attend the ones that decide the outcome. Diligence questions are answered as they arrive, so the process does not stall between meetings.

6 Terms and Close

We stay in the conversations through to the subscription, including side letters and the terms of any founders' share class or managed account.

7 Wider Reach

If our network does not cover the full raise, we approach further investors selected for it, with an approach written for each and the same preparation behind every meeting.

8 Investor Relations

After the subscription, we keep in regular contact with the investors we introduced, so they hear from you between formal reports.



10

THE FIRM

Our services

We work on equity raises only.

Inaya Advisory works with fund managers, sponsors, founders and private wealth principals. Every mandate is run by the people who accepted it, and every engagement is qualified before it begins.

01

Capital Raising Mandates

A full mandate from positioning to final close. The raise goes to our network first, in the order most likely to bring early commitments.

02

Investor Relations

Investor relationships kept working after the close and between raises. Offered after a mandate or on its own.

03

Targeted Introductions

A personal introduction to a specific investor whose mandate fits, for a raise that is already prepared and in market.

04

Mergers & Acquisitions

Advice to founders, families and principals on a full exit, a succession or the sale of a minority stake.

05

Positioning & Materials

The deck, the track record, the data room and the terms, prepared as an investment committee will read them.

06

Investment Committee Review

Our senior team reviews the raise the way an investment committee will, finds what an allocator will challenge and fixes it before diligence.



30 minutes
THE FIRST CONVERSATION

US$100 million to several billion
SIZE OF RAISE

North America, Europe and the Gulf
INVESTOR COVERAGE

11

THE PEOPLE

The people who run the mandate



David Hunter

SENIOR ADVISOR

Close to forty years in institutional capital, twenty-four of them in banking at HSBC, Citibank and Sumitomo. Executive Director and Chief Investment Officer of the North Dakota Retirement and Investment Office, and later of the US$40 billion Texas Municipal Retirement System.



Anas Ansar

MANAGING PARTNER

Runs each mandate from the first review of a raise to its final close. Leads origination and senior review with David Hunter, and signs each engagement on the firm's behalf.



Shayan Mohammed

MANAGING DIRECTOR

Leads the firm's investor coverage across North America, Europe and the Gulf, and decides which investors each mandate reaches, and in what order.



Abbas Chothia

CLIENT ADVISOR

Leads the firm's client conversations, from the first call through to an engagement confirmed in writing. Over two decades across principal-level advisory, deal execution and company building.

WHO LEADS EACH STEP

	First conversation	Senior review	Proposed approach call	Positioning and materials	Order of investors	First introductions	Meetings to close	Engagement signed	Investor relations
David Hunter	·	●	●	●	·	●	●	·	●
Anas Ansar	·	●	·	●	·	·	●	●	●
Shayan Mohammed	·	·	·	·	●	·	·	·	·
Abbas Chothia	●	·	●	·	·	·	·	·	·

~40

Years in institutional capital for David Hunter, twenty-four of them in banking

2

US public pension systems he served as Executive Director and Chief Investment Officer

US$40bn

Texas Municipal Retirement System

Roles are as described on inayaadvisory.com. Career figures are from David Hunter's earlier roles and are not transactions of Inaya Advisory.

CONTACT

To discuss a mandate

Every mandate is reviewed before it is accepted, and our answer comes with reasons.

The first conversation is with our Client Advisor. It covers what you are raising and the timeline you are working to, and it runs thirty minutes, by video and in confidence.

EMAIL

capital@inayaadvisory.com

BOOK A CONSULTATION

inayaadvisory.com/mandateconsultation

WEBSITE

inayaadvisory.com

HOW A MANDATE BEGINS

1

First conversation

Thirty minutes by video with Abbas Chothia, our Client Advisor, in confidence.

2

Senior review

David Hunter and Anas Ansar review the raise. The answer comes with reasons.

3

Proposed approach

A call with David Hunter and Abbas Chothia on positioning, order of approach and structure.

4

Engagement

The scope is set in writing and signed by Anas Ansar on the firm's behalf.



Important information. Private placements can lose all or part of the capital invested.

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